ADVENTURE WORKS SALES REPORT | 2017 TO 2020

Where Adventure Works really makes its profit

A review of 30,293 orders, and one decision it points to.

96%

of gross profit comes from online sales, which are only 28% of revenue

Sales are strong, but nearly all the profit comes from one channel

$106.2M
total sales

$12.5M
gross profit

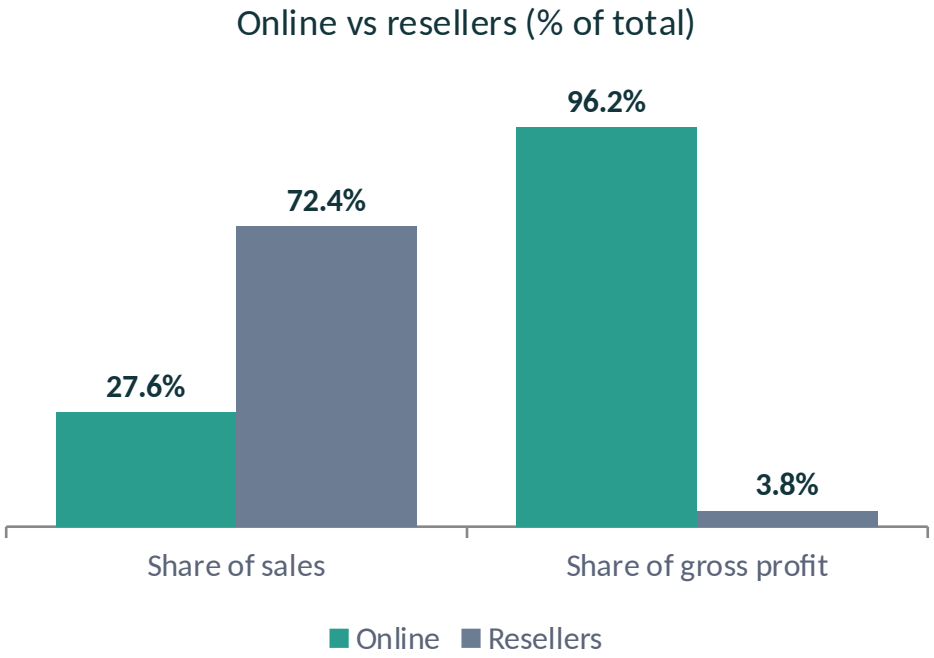
11.8%
gross margin

30,293
orders placed

Three things to know

1. Online earns 96% of the profit from 28% of the sales.
2. 36% of reseller order lines sell below cost, a $3.2M loss.
3. Hidden discounts on reseller orders lose $1.8M, mostly on four bike models.

Should growth money go to resellers or online? Online: 96% of profit from 28% of sales



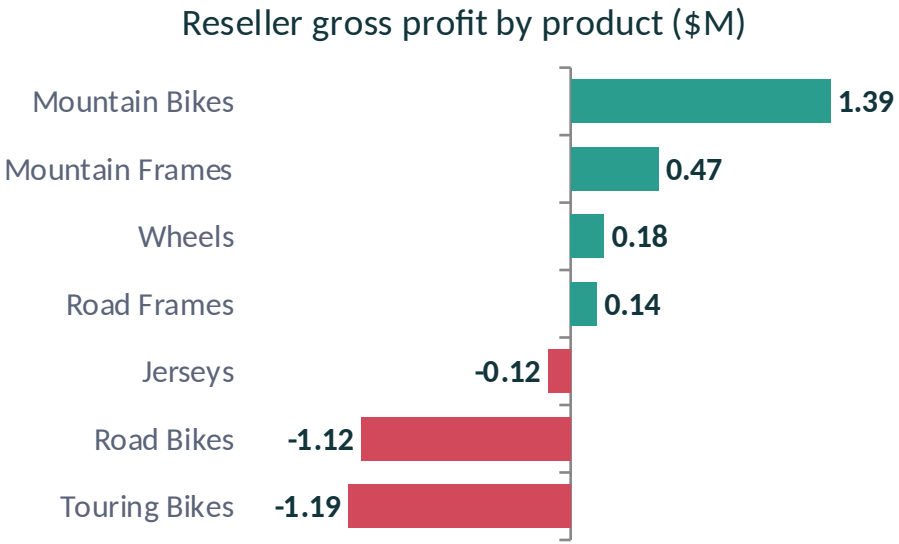
Answer: online. Grow it, and fix reseller pricing first.

41.1% gross margin online, against 0.6% for resellers

$12.1M online profit, against $0.5M from resellers

37% of online customers have ordered again

Resellers earn almost nothing because Touring and Road Bikes sell below cost



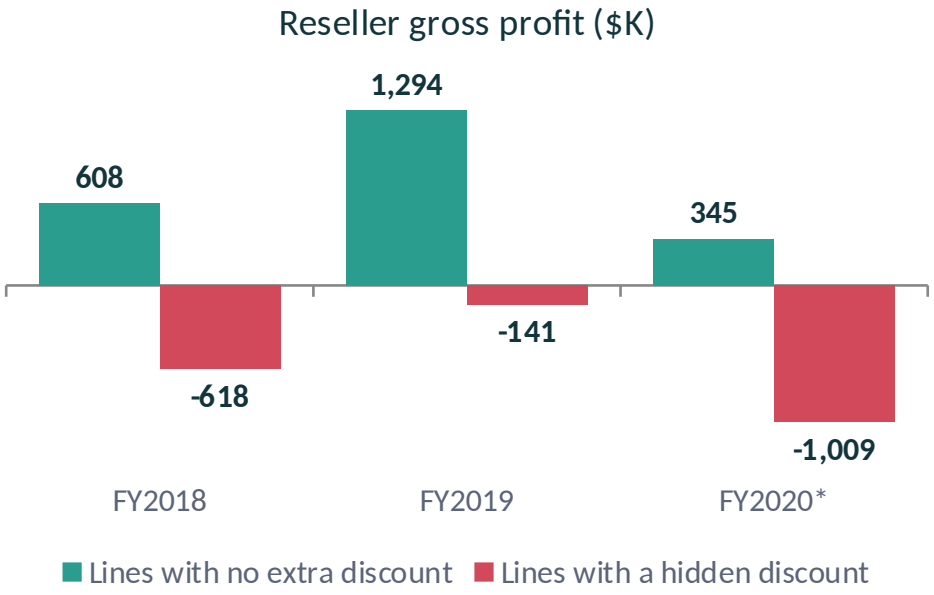
36% of reseller lines (20,553) sold below cost

$3.2M lost on those lines

82% of Road Bike reseller lines sold below cost

Resellers pay about 60% of list price, but Touring and Road Bikes cost 62% of list to make.

Hidden discounts wipe out 79% of the profit resellers earn elsewhere



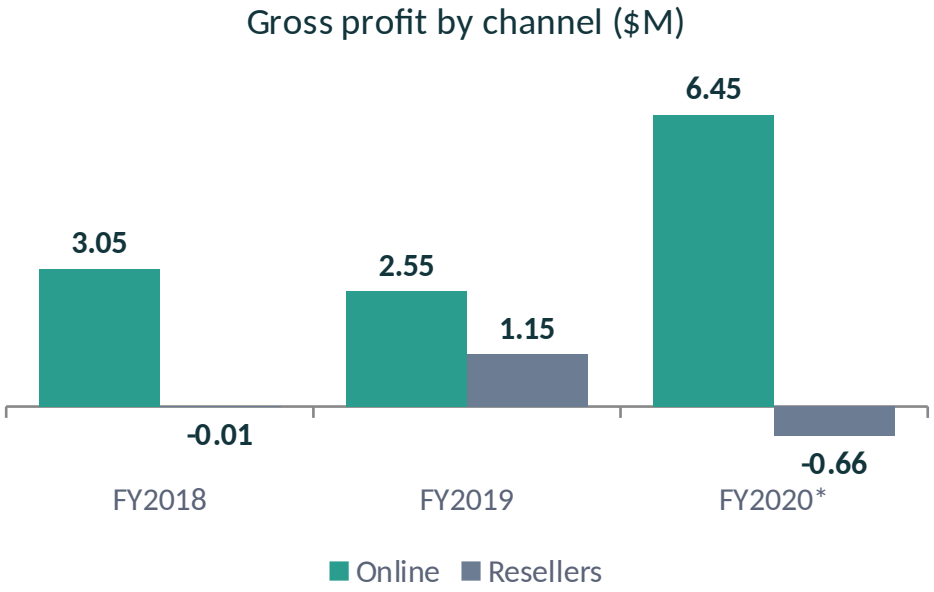
*FY2020 covers 11 months, to 30 May 2020.

3,079 reseller lines carry a discount that the Discount % column hides

$1.8M lost on those lines, against $2.2M earned on all others

96% of that loss is four models: Touring-1000, Mountain-100, Touring-3000 and Road-650

Reseller sales doubled, but reseller profit went backwards



*FY2020 covers 11 months, to 30 May 2020.

+100% reseller sales growth, from $16.3M to $32.7M

-$0.66M reseller profit in FY2020, from -$0.01M in FY2018

+112% online profit growth, to $6.5M in FY2020

Recommendation: stop selling below cost, tighten discounts, grow online

1

Set a price floor at standard cost

Start with Touring Bikes, Road Bikes and Jerseys, where most lines sell below cost.

2

Approve extra discounts case by case

Touring-1000, Mountain-100, Touring-3000 and Road-650 lose the most.

3

Move growth budget to online

Online earns a 41% margin. The US and Australia each sell about $9M online.

EXPECTED IMPACT

+$3.2M

more gross profit (+25%) if no reseller line sells below cost

Estimate. Assumes no other sales are lost, and that standard cost reflects true cost.

Appendix: data, definitions and limits

Data

- 7 tables: sales, products, resellers, customers, territories, dates
- 115,916 order lines analysed
- 1 Jul 2017 to 30 May 2020
- 6 countries

Definitions

- Gross profit = Sales Amount minus Total Product Cost
- Margin = gross profit / sales
- Below cost = a line with negative gross profit
- Hidden discount = Extended Amount minus Sales Amount

Limits

- Gross profit only: no freight, marketing or payroll
- June 2020 excluded: online orders missing after 30 May
- FY2020 covers 11 months
- Discount % column is 0 on every line